

Retail Research	IPO Note
Sector: Wire & Cables	Price Band (Rs): 983 – 1035
13 th September 2023	Recommendation: Subscribe for long term Horizon

RR Kabel Limited

Company Overview:

RR Kabel is one of the leading companies in the Indian consumer electrical industry (comprising wires and cables and fast-moving electrical goods (FMEG)), with an operating history of over 20 years in India. The company is the fifth largest player in branded wires and cables market in India, representing approximately 7% market share by value as of March'23 as compared to approximately 5% market share by value as of March'15. The company had the highest revenue contribution from the business-to-consumer (B2C) sales channel in wires and cables with approximately 74% of revenue coming from the B2C sales channel as of March'23. The company has one of the largest networks of electricians, covering 271,264 electricians across India, as of March'23. The company's products have 35 international product certifications, which is one of the highest in number among the peers in the Indian consumer electrical industry as of March'23.

Key Highlights:

Integrated In-house manufacturing facility: The company has 2 integrated facilities viz in Waghodia and Silvassa (Gujarat) for wires, cables, and switches and 3 facilities viz in Roorkee, Uttarakhand (Bengaluru, Karnataka) and Gagret (Himachal Pradesh) for FMEG products. The Waghodia facility is among India's largest electrical manufacturing facilities as of March '23 with 2.1 million CKM annual wire and cable capacity. In-house production covers 100% of wire and cable manufacturing while for FMEG it is 37%.

Global distribution footprints: The company have an extensive pan-India distribution presence. As on June'23, the company has 3,450 distributors, 3,656 dealers and 114,851 retailers, on a non-exclusive basis. As part of the distribution strategy, the company strive to provide the end-users a seamless experience through several touchpoints. The company export range of wires and cable products directly as well as through distributors across the world. The company sold its products to 63 countries in North America, APAC, Europe and Middle East.

Strong R&D Team: As on June'23, the company has a dedicated team of 60 employees focused on research and development of which 22 employees exclusively work on research and development involving FMEG products. Further, the company has a strong focus on quality and central quality and test laboratory for wires and cables at its facility in Waghodia, Gujarat which is accredited by the National Accreditation Board for Testing and Calibration Laboratories (NABL). As of June'23, RR Kabel is capable of performing 694 tests on the products.

Valuation: The company is valued at a PE and EV/EBITDA multiple of 61.5x/36.9x of its upper price band on post-issue capital. The IPO looks fairly valued across various valuation parameters when compared with its peers. With decent return ratios and margins, the risk reward ratio for long term investors looks favourable. The investors can subscribe to the IPO for a long-term investment perspective.

Issue Details	
Date of Opening	13 th September 23
Date of Closing	15 th September 23
Price Band (Rs)	983 – 1035
Issue Size (Rs cr)	1,874 – 1,964
No. of shares	1,90,67,937 – 1,89,75,938
Face Value (Rs)	5
Post Issue Market Cap (Rs cr)	11,098 – 11,675
BRLMs	Axis Capital, HSBC Securities, Citi Group, JM Financial
Registrar	Link Intime India Private Limited
Bid Lot	14 shares and in multiple thereof
QIB shares	50%
Retail shares	15%
NIB (HNI) shares	35%
Employee Reservation	Aggregating upto Rs 10.8 cr

Objects of Issue	
	(Rs Cr.)
Gross proceeds from fresh issue [^]	180
(less) Offer Expenses in relation to the Fresh Issue*	-
Net Proceeds*	-

To be finalised upon determination of the Offer Price and updated in the Prospectus prior to filing with the RoC. For details on Offer Expenses, see – Offer Expenses” on page 116.

Shareholding Pattern		
Pre-Issue	No. of Shares	%
Promoter & Promoter Group	7,37,76,147	66.4
Public & Others	3,72,92,709	33.6
Total	11,10,68,856	100.0

Post Issue @Lower Price Band	No. of Shares	%
Promoter & Promoter Group	7,08,05,696	62.7
Public & Others	4,20,94,289	37.3
Total	11,28,99,985	100.0

Post Issue @Upper Price Band	No. of Shares	%
Promoter & Promoter Group	7,08,05,696	62.8
Public & Others	4,20,02,290	37.2
Total	11,28,07,986	100.0

Source: RHP, SSL Research

Risk Factors

- The costs of the raw materials that the company use in the manufacturing process are subject to volatility. Increases or fluctuations in raw material prices may have a material adverse effect on the business, financial condition, results of operations and cash flows.
- Any disruption, breakdown or shutdown of the manufacturing facilities may have a material adverse effect on the business, financial condition, results of operations and cash flows.
- The company's inability to maintain the stability of the distribution network in India across our distribution channels and attract additional distributors, dealers and retailers may have a material adverse effect on the results of operations and financial condition.
- The company's distribution to the overseas market is dependent on a few distributors and significant changes to the business arrangements with these distributors may impact the results of operations, cash flows and financial condition.

Growth Strategy

- Expand distribution and establish leadership position for wires and cables segment in India.
- Enhance geographical footprint of the wires and cables segment.
- Capitalize on the market opportunity in wires and cables segment, including through innovation and product development to expanding product portfolio.
- Grow and expand FMEG segment organically and inorganically.
- Enhance productivity and operational efficiencies.

Revenue Breakup

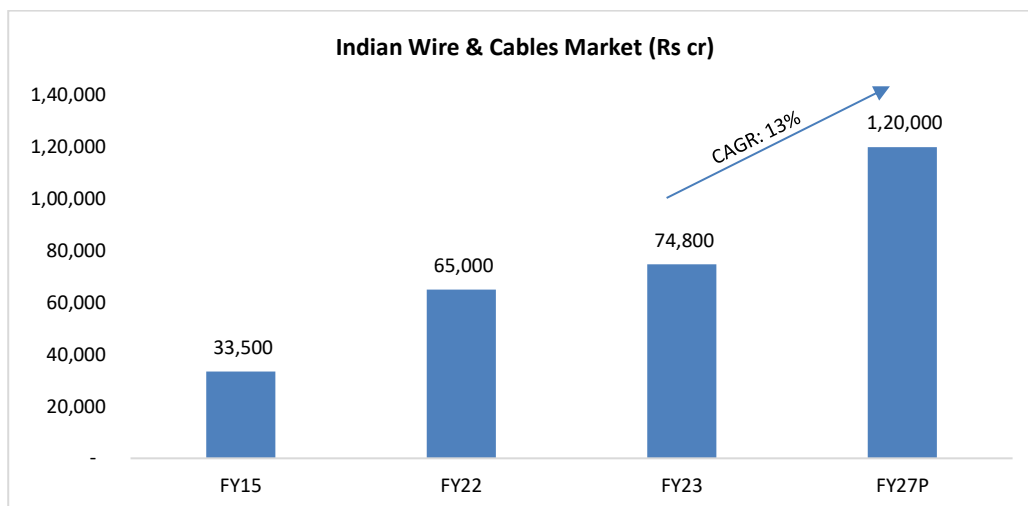
Segment revenue	FY21		FY22		FY23		3MFY23		3MFY24	
	Revenue (Rs cr)	(% of revenue from operations)	Revenue (Rs cr)	(% of revenue from operations)	Revenue (Rs cr)	(% of revenue from operations)	Revenue (Rs cr)	(% of revenue from operations)	Revenue (Rs cr)	(% of revenue from operations)
Wires and Cables	2,520.3	92.5%	4,111.3	93.7%	4,958.5	88.6%	1,105.8	89.5%	1,423.1	89.1%
FMEG	203.7	7.5%	274.7	6.3%	640.7	11.4%	130.1	10.5%	174.2	10.9%
Total Revenue from Operations	2,723.9	100.0%	4,385.9	100.0%	5,599.2	100.0%	1,235.9	100.0%	1,597.3	100.0%

Source: RHP, SSL Research

Industry Overview

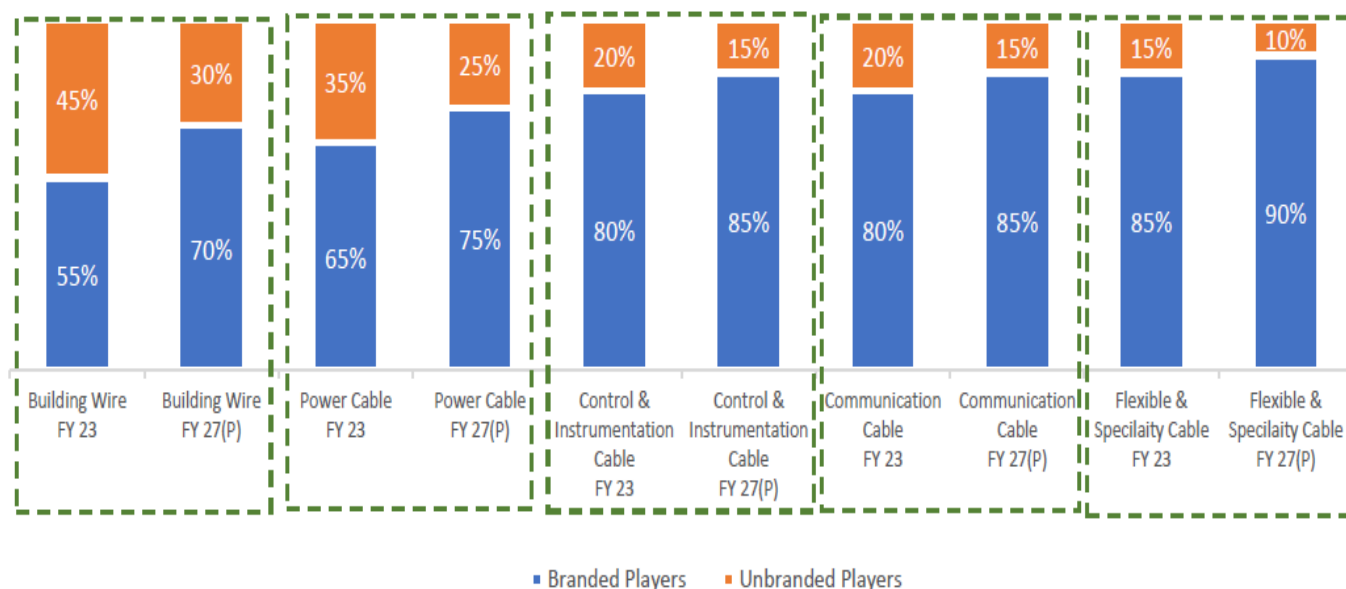
Wires and Cables Market in India

The W&C market constitutes approximately 41% of the Indian W&C and FMEG industry. It has grown at a CAGR of approximately 11% from Rs 33,500 cr in FY15 to Rs 74,800 cr in FY23 and is further expected to grow at a CAGR of approximately 13% till FY27 to reach a market value of Rs 1,20,000 cr.



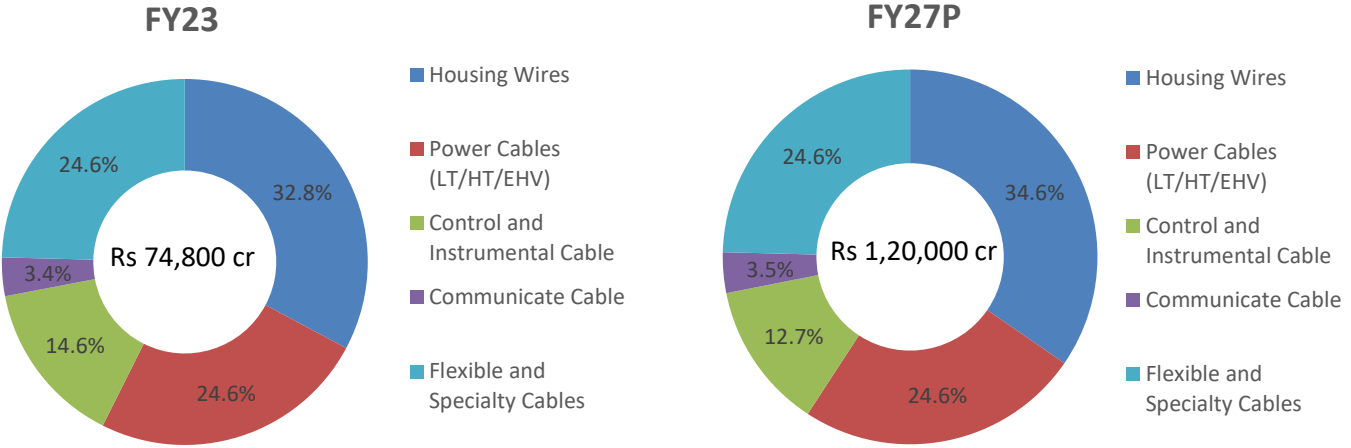
Source: RHP, SSL Research

Share of Branded Play within sub-categories of Indian W&C Market



Source: RHP, SSL Research

Break up of different sub-categories of W&C Industry in India



Source: RHP, SSL Research

Financial Snapshot

RR Kabel Limited			
(Rs. Cr.)	Pre-Issue	Post Issue	
	FY22	FY23	
Particulars		Price Band	
	983.0	983.0	1,035.0
Net Sales	4,385.9	5,599.2	5,599.2
Total Income	4,432.2	5,633.6	5,633.6
EBIDTA	307.5	323.3	323.3
PAT	213.9	189.9	189.9
Equity Share Capital	23.9	56.4	56.4
No of Equity Shares	4.8	11.3	11.3
Face Value	5.0	5.0	5.0
EPS	44.7	16.8	16.8
CMP	983.0	983.0	1,035.0
Cash and Bank	12.3	261.1	261.1
Debt	521.1	515.8	515.8
Market Cap	4,703.5	11,098.1	11,675.6
BV per share (Rs)	261.3	141.7	141.8
PE(x)	22.0	58.5	61.5
P/BV (x)	3.8	6.9	7.3
Enterprise Value	5,212.3	11,352.8	11,930.4
Mcap/Sales (x)	1.1	2.0	2.1
EV/Sales (x)	1.2	2.0	2.1
EV/EBIDTA (x)	17.0	35.1	36.9
EBITDA Margins (%)	7.0	5.8	5.8
Net Margins (%)	4.9	3.4	3.4
ROE (%)	18.6	13.3	13.3
ROCE (%)	18.6	15.3	15.3
Debt/Equity	0.4	0.3	0.3
Net worth	1,250.3	1,599.7	1,599.7

Source: RHP, SSL Research (Post Issue)

Year	FY21	FY22	FY23
Net Sales	2,723.9	4,385.9	5,599.2
EBITDA	231.2	307.5	323.3
Net Profit	135.4	213.9	189.8
EBITDA Margin (%)	8.5	7.0	5.8
Net Profit Margin (%)	5.0	4.9	3.4

Source: RHP, SSL Research

	FY21	FY22	FY23
Debtor's days	56	43	39
Inventory days	91	72	69
Creditor's days	19	17	35
Working Capital Days	128	98	72

Source: RHP, SSL Research

	FY21	FY22	FY23
Cash flow from Operating Activities	-71.6	98.2	453.7
Cash flow from Investing Activities	-5.9	-62.7	-333.5
Cash flow from Financing Activities	74.1	-31.6	-101.5
Free Cash Flow	-118.0	34.7	345.9

Source: RHP, SSL Research

Peer Comparison

	RR Kabel Limited	Havells India Limited	Polycab India Limited	KEI Industries Limited	Finolex Cables Limited	V-Guard Industries Limited	Crompton Greaves Consmer Electricals Limited	Bajaj Electricals Limited
EV (Rs cr)	11,930.4	85,671.0	73,843.0	22,763.0	16,446.0	13,755.0	20,492.0	12,758.0
CMP	1,035.0	1,393.0	4,943.0	2,564.0	1,080.0	306.0	306.0	1,132.0
Sales (Rs cr)	5,599.2	16,911.0	14,108.0	6,912.0	4,481.0	4,050.0	6,870.0	5,418.0
EBITDA (Rs cr)	323.3	1,621.0	1,843.0	706.0	496.0	301.0	770.0	358.0
Net Profit (Rs cr)	189.9	1,072.0	1,282.0	477.0	502.0	179.0	476.0	231.0
M.Cap (Rs Cr)	11,675.6	87,318.0	74,135.0	23,138.0	16,506.0	13,279.0	19,596.0	13,026.0
EBITDA Margin (%)	5.8	9.6	13.1	10.2	11.1	7.4	11.2	6.6
EV/Sales	2.1	5.1	5.2	3.3	3.7	3.4	3.0	2.4
PE(x)	61.5	78.2	51.1	46.7	30.7	76.3	42.1	56.6
RoE (%)	13.3	17.0	20.0	20.2	14.4	12.0	18.1	12.2
RoCE (%)	15.3	22.3	27.1	25.8	18.5	14.5	18.5	18.5

(Source: RHP, SSL Research)

The data is based on FY23 financial data, For RR Kabel Limited the data is calculated on post-issue equity share capital.

CMP as on 12th September'23.

SBICAP Securities Limited

(CIN): U65999MH2005PLC155485 | Research Analyst Registration No INH000000602

SEBI Registration No.: Stock Broker: INZ000200032 | CDSL: IN-DP-314-2017 | NSDL: IN-DP-NSDL-369-2014 | Research Analyst: INH000000602

Portfolio Manager: INP000004912 | IRDA/RW/IR2/2015/081 | IRDA/RW/IR1/2016/041 | IRDA: CA0103

Registered & Corporate Office: Marathon Futorex, A Wing, 12th Floor, N. M. Joshi Marg, Lower Parel, Mumbai-400013.

For any information contact us:

022-6854 5555**E-mail: helpdesk@sbicapsec.com | Web: www.sbisecurities.in****DISCLOSURES & DISCLAIMERS:**

Analyst Certification: The views expressed in this research report ("Report") accurately reflect the personal views of the research analysts ("Analysts") employed by SBICAP Securities Limited (SSL) about any and all of the subject issuer(s) or company(ies) or securities. This report has been prepared based upon information available to the public and sources, believed to be reliable. I/We also certify that no part of my/our compensation was, is, or will be directly or indirectly related to the specific recommendation(s) or view(s) in this report.

The Analysts engaged in preparation of this Report or his/her relative:-

- (a) do not have any financial interests in the subject company mentioned in this Report; (b) do not own 1% or more of the equity securities of the subject company mentioned in the report as of the last day of the month preceding the publication of the research report; (c) do not have any material conflict of interest at the time of publication of the Report.

The Analysts engaged in preparation of this Report:-

- (a) have not received any compensation from the subject company in the past twelve months; (b) have not managed or co-managed public offering of securities for the subject company in the past twelve months; (c) have not received any compensation for investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (d) have not received any compensation for products or services other than investment banking or merchant banking or brokerage services from the subject company in the past twelve months; (e) has not received any compensation or other benefits from the subject company or third party in connection with the Report; (f) has not served as an officer, director or employee of the subject company; (g) is not engaged in market making activity for the subject company.

Name	Qualification	Designation
Sudeep Shah	MMS-Finance	DVP- Technical & Derivative Research
Sunny Agrawal	B.E, MBA (Finance)	DVP - Fundamental Research
Rajesh Gupta	PGDBM (Finance), MA (Bus. Eco)	AVP - Fundamental Research
Monica Chauhan	C.A.	Research Analyst - Equity Fundamentals
Harsh Vasa	CA	Research Analyst - Equity Fundamentals
Sumeet Shah	B.E., CFA	Research Analyst - Equity Fundamentals
Gautam Updhyaya	MBA (Finance)	Research Analyst - Equity Derivatives
Vinayak Gangule	BE (IT)	Research Analyst - Equity Technicals
Pratik Patni	BSc (Biotech Entire)	Research Analyst- Equity Derivatives
Ghanshyam Gupta	MBA (Finance)	Research Analyst- Currency Derivative
Sagar Peshwani	B.Tech (ECE)	Research Associate - Equity Technicals
Kalpesh Mangade	B.Com	MIS Analyst - Retail Research

For other Disclosures please visit: https://bit.ly/R_disclaimer02